

Meta Platforms, Inc.

META NASDAQ

Buy

\$548.15 ▲ 1.69%

12M Price Target
\$640.00

52-Week Range
\$520.26 – \$796.25

Market Cap
\$1.40T

META: Earnings Miss Overreaction — AI Spending Fear Is Overdone

WHAT HAPPENED

- META just got hammered — down ~9% from Tuesday's \$593 to yesterday's \$539 — because Q2 earnings were called "barely passable" and they cranked up AI spending guidance again. Today it's bouncing +1.7% to \$548, which tells me the panic-sell is exhausting and some brave money is nibbling.
- The COO sold ~\$640K of stock on 7/27 (right before the print) — small in dollar terms but the timing is awkward. Not a smoking gun, but not a great look either.

WHY IT MATTERS

The market is basically saying "we're tired of Zuck spending \$70B+ a year on AI without seeing the payoff" — but here's the thing: the political environment is actively rewarding this behavior. The Trump administration's AI Action Plan (released January 2025) and the ongoing push to keep the US ahead of China in AI means Meta's massive capex is aligned with national policy, not fighting it. Translation: they're less likely to get hit with antitrust or forced-divestiture pressure while they're seen as a "national champion" in the AI race. The stock at \$548 is now trading at roughly 22x forward earnings — cheaper than the S&P 500 average — for a business still growing ad revenue double-digits and printing \$50B+ in free cash flow. That disconnect usually closes.

POLICY & POLITICAL WATCH

Two things to watch: (1) The Kids Online Safety Act (KOSA) keeps getting reintroduced — if it passes, META has to spend more on age verification and content moderation, but it also raises the moat because smaller competitors can't afford compliance. (2) The EU Digital Markets Act fines are ongoing, but the Trump admin has been pushing back hard on EU tech regulation via trade threats, which is a quiet tailwind for META. Also: any tariff escalation with China indirectly helps META because TikTok's US future remains uncertain — every month ByteDance is in legal limbo, Reels gains share.

IS IT EXPENSIVE?

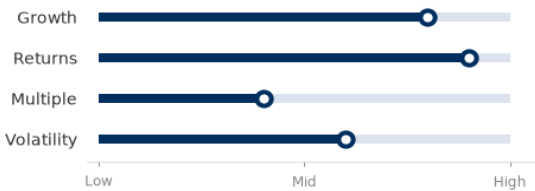
At \$548, you're paying about 22x next year's earnings — meaning \$22 for every \$1 of profit META is expected to make. That's cheaper than the S&P 500 (~24x) for a company growing 15%+ with 40% operating margins. The bear case is that AI capex crushes free cash flow, so investors are basically pricing META like a utility even though it's still growing like a tech company — Trefis called it "priced like a bond, growing like a rocket," and that's about right.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$548.15
12M Price Target	\$640.00
Upside / (Downside)	+16.8%
Market Cap	\$1.40T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$24.50
FY2027E EPS	\$29.00
Fwd P/E	22.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$600.00	\$565.00	\$510.00
6 Months	\$680.00	\$610.00	\$480.00
1 Year	\$780.00	\$640.00	\$460.00
2 Years	\$900.00	\$720.00	\$440.00
5 Years	\$1200.00	\$850.00	\$400.00
10 Years	\$1800.00	\$1100.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87% today, +5.67% this week) — money is flowing into growth/consumer names, suggesting risk appetite is actually returning despite the META selloff.

COOLING OFF: Energy and Utilities — classic defensive rotation OUT, which usually means the market isn't as scared as META's chart makes it look.

ROTATION WATCH: Money is rotating within tech — out of AI capex-heavy names (META, GOOGL) and into AI beneficiaries (chipmakers, cloud infrastructure). That's a specific mistrust of hyperscaler spending, not a broad tech puke.

RELATED PLAY: If you believe META's AI spend eventually pays off, the picks-and-shovels plays are NVDA (they're literally selling the GPUs META is buying) and data center REITs like EQIX. Those benefit whether META monetizes AI or not.

WHO'S WINNING IN THIS SPACE?

- AMZN (Amazon): Beat earnings this cycle — cloud/AWS growth is accelerating and AI monetization is more visible than META's.
- GOOGL (Alphabet): Held up better than META because Search revenue is still resilient and their AI capex/revenue ratio is more favorable.

META CONTEXT: META is lagging its Big Tech peers meaningfully — down 30% from its 52-week high while AMZN/GOOGL are near highs. That underperformance is either a buying opportunity or a warning sign that META's AI spend is uniquely undisciplined. I lean toward opportunity because the core ad business is still very healthy — but this is why conviction is 7, not 9.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Not pounding the table, but this is a high-quality business on sale because Wall Street is having a temper tantrum about capex.

POSITION SIZE: 3-5% of portfolio — big enough to matter if it rerates, small enough to survive if AI spending keeps ballooning.

ENTRY POINTS: Current level (\$540-555) is reasonable; I'd add aggressively if it retests the 52-week low near \$520.

TIME HORIZON: 12-24 months — the catalyst is either (a) Zuck signals capex discipline on a future call, or (b) AI monetization becomes visible in ad targeting improvements.

WHEN TO BAIL: If ad revenue growth drops below 10% year-over-year, or if 2027 capex guide comes in above \$120B with no monetization framework, cut it.

HEDGING: Buy \$500 puts expiring 6 months out as insurance — costs a small premium but caps your downside if the AI spending narrative keeps deteriorating. Or just size the position smaller and sleep better.